AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2024

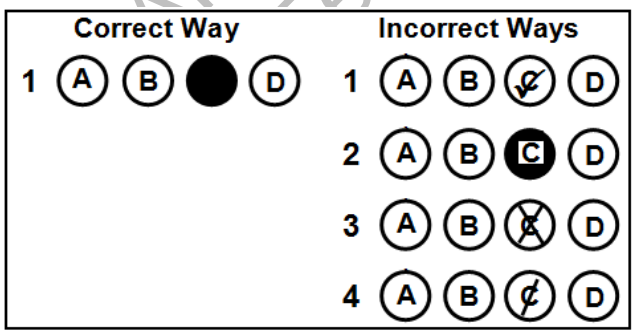
Principles of Accounting Paper I

Time: 55 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Use the given business transaction to answer Q.1 and Q.2.

The following details are related to non-current (fixed) assets of Capital Traders:

Asset	Cost	Residual Value	Date of Purchase	Method of depreciation
Equipment	Rs 1,300,000	Rs 68,000	January 01, 2020	Sum of the year digit method
Production plant	Rs 940,000	Rs 40,000	July 01, 2021	Hours Method

1. If the expected life of the equipment is 10 years, then what would be its depreciation amount for the year 2021?

   A. Rs 201,600
   B. Rs 212,727
   C. Rs 224,000
   D. Rs 236,363

2. If the production plant's life is 1,500,000 hours with a usage of 140,000 hours in 2023, then the book value of the plant as on December 31, 2023, would be

   A. Rs 84,000
   B. Rs 87,730
   C. Rs 852,267
   D. Rs 856,000

3. Areej purchased a dispenser machine for Rs 100,000. She paid the following expenses before the machine started working.

Account Title	Amount (Rs)
Transportation charges	3,500
Installation charges	4,500
Insurance in transit	15,000
3 year fire insurance	25,000
voltage stabilizer	30,000

   The total cost of the machine recorded in the books of Areej will be

   A. Rs 108,000
   B. Rs 123,000
   C. Rs 130,000
   D. Rs 148,000

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4. Alpha computers purchased a machine costing Rs 300,000. The balance of accumulated depreciation of the machine is Rs 140,000.

   If the machine was sold at a gain of Rs 10,000, then the cash collected at the time of disposal would be

   A. Rs 130,000
   B. Rs 150,000
   C. Rs 160,000
   D. Rs 170,000

5. With reference to the recovery for previously write-off bad debts amount, which of the following accounts would be debited and credited at the time of recording transaction?

	Debit	**Credit**
A	cash	account receivable (trade receivable)
B	cash	bad debts expense
C	allowance (provision) of bad debts	account receivable (trade receivable)
D	account receivable (trade receivable)	allowance (provision) of bad debts

6. AG Handicrafts, a wholesaler specialising in handmade products, keeps records of all customers, whether they make payments on credit or not. On this basis, the business maintains a provision for the doubtful debts to record the bad debts.

   The principle of accounting that binds AG Handicrafts to create the allowance (provision) for doubtful (bad) debts account is known as

   A. cost concept.
   B. accruals principle.
   C. business entity concept.
   D. going concern principle.

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Use the given information to answer Q.7, Q.8 and Q.9.

The following trial balance is extracted from the books of a business.

S.No.	Particulars	Debit	Credit
1	Purchases	120,000	
2	Purchase Returns		15,000
3	Sales		240,000
4	Sales Returns	12,000	
5	Stocks (01.01.23)	15,000	
6	Salary Expense	65,000	
7	Advertisement Expense	35,000	
8	Transportation in	12,000	
9	Delivery expense (selling expense)	10,000	
10	Stocks (01.12.23)	30,000	

7. The net profit for the business would be

   A. Rs 16,000
   B. Rs 26,000
   C. Rs 31,000
   D. Rs 42,000

8. The net sales for the business would be

   A. Rs 218,000
   B. Rs 228,000
   C. Rs 240,000
   D. Rs 252,000

9. With reference to the given data, the CORRECT formula for computing the cost of goods sold (CGS) would be

   A. Purchases + Purchase Returns + Transportation in
   B. Opening Stock + Purchases – Purchase Returns + Transportation in – Ending Stock
   C. Sales Revenue – Sales Returns + Transportation in
   D. Opening Stock + Purchases – Purchase Returns – Transportation in

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10. The sales revenue of a business for the year amounted to Rs 192,000, whereas the cost of sales amounted to Rs 123,000.

The account heads that will be debited and credited to close sales revenue would be

	Account to be Debited	Account to be Credited
A	Sales revenue Rs 123,000	Expense and revenue summary Rs 123,000
B	Cash/ trade receivables Rs 123,000	Sales revenue Rs 123,000
C	Cash/ trade receivables Rs 192,000	Sales revenue Rs 192,000
D	Sales revenue Rs 192,000	Expense and revenue summary Rs 192,000

11. Which of the following forms of advance is considered as a liability?

A. Advance to suppliers
B. Advance from customer
C. Advance salaries to staff
D. Advance tax payment

12. On April 01, 2023, Ms Ammara in order to advertise her new product paid Rs 72,000 for twelve months. Her accounting period ends on 30th June each year.

The amount of advertisement expense in the books of Ms Ammara for the year 2023 will be

A. Rs 6,000
B. Rs 18,000
C. Rs 54,000
D. Rs 72,000

13. The set of formula that CORRECTLY distinguishes between mark-up and margin is

	Mark-up	Margin
A	cash receivable – cash received	net sales – net purchases
B	(cash collection / cash payments) * 100	(sales / cost of goods sold) * 100
C	(gross profit / cost price) * 100	(gross profit / selling price) * 100
D	cash receivables – cash payables	sales – operating expenditure

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14. The following details are related to a business for the current year:

Account title	**Amount**
Opening stock	Rs 100,000
Ending stock	Rs 120,000
Purchases	Rs 370,000
Sales revenue	Rs 500,000

If the sales and cost of sales are expected to increase by 10% and 20% respectively for the coming year, then the gross profit margin for the year would be

A. 10%.
B. 23.6%.
C. 30%.
D. 30.9%.

15. The given extract depicts the income statement of a business

Account Title	**Amount (Rs)**
Sales revenue	1,200,000
Opening inventory	240,000
Ending inventory	220,000

If the business earns a gross profit Markup of 25%, then the amount of net purchases of the business would be

A. Rs 300,000
B. Rs 880,000
C. Rs 900,000
D. Rs 940,000

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16. The following balance has been extracted from the records of ABC Limited.

Particulars	Amount (Rs)
Trade receivables (accounts receivables) opening balance	15,000
Trade receivables (accounts receivables) closing balance	40,000
Cash sales during the year	42,000
Cash collected from customers	75,000
Sales return and allowances	2,000

Based on the given balances, the total sales of ABC Limited would be

A. Rs 24,000
B. Rs 94,000
C. Rs 140,000
D. Rs 144,000

17. Shahid is an entrepreneur and follows the double entry system of accounting. While preparing the trial balance for annual accounts, he found that the trial balance did not agree. Upon review, he found that a cheque of Rs 870 issued to Shabbir Traders was entered in his account as Rs 780.

The adjusting entry that will be made by Shahid to correct the given error would be

	Account to be Debited	Account to be Credited
A	Shabbir account Rs 90	Sales Rs 90
B	Bank account Rs 90	Shabbir Traders Rs 90
C	Shabbir account Rs 90	Bank Rs 90
D	Sales Rs 90	Shabbir Traders Rs 90

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18. Feroz Limited provided the following details related to cash forecast for the month of January and February:

Description	January Amount (Rs)	February Amount (Rs)
Opening balance	0	70
Cash inflow (receipt)	800	?
Cash outflow (payment)	730	700
Closing balance	70	140

The amount of cash for Feroz Limited for the month of February will be

A. Rs 180
B. Rs 630
C. Rs 770
D. Rs 910

19. The amount of purchase return of Rs 8,500 was wrongly entered in the sales account.

The general journal entry to rectify the given error will be

	Particulars	P.R.	Debit	Credit
A	Purchase returns		8,500	
	Sales			8,500
B	Sales		8,500	
	Purchase returns			8,500
C	Purchase returns		17,000	
	Sales			17,000
D	Sales		17,000	
	Purchase returns			17,000

20. If no distinction is made between capital and revenue expenditures while recording a transaction, then it will be an error of

A. principle.
B. complete reversal.
C. original entry.
D. commission.

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21. An accrued rent of Rs 5,000 was mistakenly posted to ledger as prepaid rent by the accountant.

    Based on the given accounting error, net profit of the business would be

    A. overstated by Rs 5,000
    B. understated by Rs 5,000
    C. overstated by Rs 10,000
    D. understated by Rs 10,000

22. Anwar Sons, a confectionary distributor, paid Rs 3,000 as license fee to one of his truck drivers, but due to misunderstanding, the bookkeeper recorded the amount to the transportation expenditure.

    The correcting entry to rectify the given error will be

Date	Particular	P.R.	Debit	Credit
A	License fee		3000	
	Transportation expense			3000
B	License fee		3000	
	Cash			3000
C	Transportation expense		3000	
	License fee			3000
D	Cash		3000	
	Transportation expense			3000

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Use the given information to answer Q.23 and Q.24.

Following is the extract of a trial balance:

Account Title	**Amount (Rs)**
Salaries expense	42,000
Interest income	19,000
Trade receivables	150,000

Data for adjustment as on December 31, 2021:

- Salaries for the year amounted to Rs 48,000
- Interest income for the year was Rs 24,000
- Bad debt is to be charged at 2% on year-end balance.

23. If the net current liabilities before adjustment amount to Rs 147,000, then based on the given situation the amount of adjusted net current liabilities would be

    A. Rs 139,000
    B. Rs 141,000
    C. Rs 147,000
    D. Rs 153,000

24. If the unadjusted profit for the year amounted to Rs 93,000, then based on the given situation the amount of adjusted profit would be

    A. Rs 79,000
    B. Rs 89,000
    C. Rs 91,000
    D. Rs 97,000

25. The amount of surplus of a non-profit organisation (NPO) means that there is an excess of

    A. receipts over payments.
    B. payments over receipts.
    C. expenditures over incomes.
    D. incomes over expenditures.

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Use the given information to answer Q.26, Q.27 and Q.28.

The following receipts and payments account have been prepared by the accountant of Hockey Welfare Association as on December 31, 2023.

Receipts		Payments	
Balance c/d	130,000	Fitness machine purchases	120,000
Subscription 2022	18,000	Purchase of pipe for watering ground	10,000
Subscription 2023	190,000	Rent expense	90,000
Subscription 2024	10,000	Repair and maintenance	12,000
Donation	19,000		

26. The amount of current assets and current liabilities that will be shown in the statement of affairs of the association as on December 31, 2023 would be

	Current Asset	Current Liability
A	Rs 130,000	Rs 18,000
B	Rs 130,000	Rs 10,000
C	Rs 135,000	Rs 18,000
D	Rs 135,000	Rs 10,000

27. The amount of income that will be shown in the income and expenditure account of Hockey Welfare Association for the year ended December 31,2023 would be

A. Rs 190,000
B. Rs 209,000
C. Rs 218,000
D. Rs 237,000

28. In income and expenditure account for a sports club, the subscription income received in advance for the year 2024 in year 2023 is considered as

A. liability.
B. current assets.
C. additional income.
D. non-current assets.

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29. The following details have been extracted from the books of Sahafa Trust, a non-profit organisation.

	Particulars	Amount (Rs)
1	Current assets	150,000
2	Non-current assets (fixed assets)	267,000
3	Current liabilities	38,000
4	Long term liabilities	164,000

The accumulated fund of the organization would be

A. Rs 202,000
B. Rs 215,000
C. Rs 417,000
D. Rs 619,000

30. The shortage of expenditure over income for non-profit organisations is termed as

A. profit.
B. deficit.
C. interest.
D. surplus.

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END OF PAPER

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